

investment ability wanted to buy one hundred shares of a stock listed on the New York Stock Exchange. On the day he decided to buy, the stock closed at 35½. On the following day it sold repeatedly at that price. But this gentleman would not pay 35½. He decided he might as well save fifty dollars. He put his order in at 35. He refused to raise it. The stock never again sold at 35. Today, almost twenty-five years later, the stock appears to have a particularly bright future. As a result of the stock dividends and splits that have occurred in the intervening years, it is now selling at over 500.

In other words, in an attempt to save fifty dollars, this investor failed to make at least \$46,500. Furthermore, there is no question that this investor would have made the \$46,500, because he still has other shares of this same company which he bought at even lower figures. Since \$46,500 is about 930 times 50, this means that our investor would have had to save his fifty dollars 930 times just to break even. Obviously, following a course of action with this kind of odds against it borders on financial lunacy.

This particular example is by no means an extreme one. I purposely selected a stock which for a number of years was more of a market lag-gard than a market leader. If our investor had picked any one of perhaps fifty other growth stocks listed on the New York Stock Exchange, missing \$3500 worth of such stock in order to save \$50 would have cost a great deal more than the \$46,500.

For the small investor wanting to buy only a few hundred shares of a stock, the rule is very simple. If the stock seems the right one and the price seems reasonably attractive at current levels, buy "at the market." The extra eighth, or quarter, or half point that may be paid is insignificant compared to the profit that will be missed if the stock is not obtained. Should the stock not have this sort of long-range potential, I believe the investor should not have decided to buy it in the first place.

For the larger investor, wanting perhaps many thousands of shares, the problem is not quite as simple. For all but a very small minority of stocks, the available supply is usually sufficiently limited that an attempt to buy at the market even half of this desired amount could well cause a sizable advance in quotations. This sudden price rise might, in turn, produce two further effects, both tending to make accumulating a block of this stock even more difficult. The price spurt by itself might be enough to arouse the